

Business Responsibility Report

For the Financial Year 2021-22

[Pursuant to Regulation 34(2)(f) of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015]

Section A: General Information about the Company

1. Corporate Identity Number (CIN) of the Company	: L65990MH1945PLC004558
2. Name of the Company	: Mahindra & Mahindra Limited
3. Registered address	: Gateway Building, Apollo Bunder, Mumbai - 400001
4. Website	: https://www.mahindra.com
5. Email ID	: investors@mahindra.com
6. Financial Year reported	: 01.04.2021 to 31.03.2022

7. Sector(s) that the Company is engaged in (industrial activity code-wise):

Description	Industrial Activity Code		
	Group	Class	Sub-class
Automotive	291	2910	29101, 29102, 29103, 29104, 29109
Farm Equipment	282	2821	28211, 28212
Truck and Bus	282	2824	28243

8. List three key products/services that the Company manufactures/provides (as in balance sheet):

- Passenger Vehicles (Utility Vehicles, Multi-Purpose Vehicles and Cars)
- Commercial Vehicles
- Tractors

9. Total number of locations where business activity is undertaken by the Company:

- Number of International Locations: 0
- Number of National Locations: 35

10. Markets served by the Company – Local/State/National/International: All

Section B: Financial Details of the Company

1. Paid up Capital (INR)	: 621.60 crores
2. Total Turnover (INR)	: 57,446 crores
3. Total profit after taxes (INR)	: 4,935 crores
4. Total Spending on Corporate Social Responsibility (CSR) (INR) as percentage of profit after tax (%)	: 97.08 crores As per section 135 of the Companies Act, 2013, the CSR spend is 2% of average net profits of the preceding three financial years
5. List of activities in which expenditure in 4 above has been incurred	: (a) Health and Sanitation (b) Education and Skilling (c) Women Empowerment (d) Environment and Ecological Initiatives (e) Rural Development (f) Disaster Management

Section C: Other details

1. Does the Company have any Subsidiary Company/Companies?

Yes, the Company has 177 Subsidiary companies as on March 31, 2022.

2. Do the Subsidiary Company/Companies participate in the BR Initiatives of the parent company? If yes, then indicate the number of such subsidiary company(s)

Yes.

For the year 2021-22, Sustainability initiatives have been undertaken at 15 subsidiaries, mentioned below:

- Mahindra Electric Mobility Limited
- Mahindra Agri Solutions Limited
- Mahindra EPC Irrigation Limited
- Mahindra Lifespace Developers Limited
- Mahindra World City Developers Limited
- Mahindra World City (Jaipur) Limited
- Mahindra Holidays & Resorts India Limited
- Mahindra & Mahindra Financial Services Limited
- Mahindra Rural Housing Finance Limited
- Mahindra Insurance Brokers Limited
- Mahindra Intertrade Limited
- Mahindra Steel Service Centre Limited
- Mahindra Logistics Limited
- Mahindra Heavy Engines Limited
- Mahindra Susten Private Limited

3. Do any other entity/entities (e.g., suppliers, distributors etc.) that the Company does business with, participate in the BR initiatives of the Company? If yes, then indicate the percentage of such entity/entities? [Less than 30%, 30-60%, More than 60%]

Yes.

- More than 60% of suppliers participate in BR initiatives.
- M&M supplier portfolio includes many nationally and internationally renowned suppliers who follow robust sustainability practices.
- 'Sustainability' awareness session has been conducted for most of the needy supplier base.
- In the last four years, 793 suppliers have participated in these awareness/capacity building sessions.
- In FY 2021-22, two sustainability capacity building sessions namely 'Zero Waste to Landfill' practices and 'Beyond Reporting - More Value from Materiality' were conducted.
- Strategic Suppliers Annual meet is planned in FY2023 H1 to reward and motivate high performing suppliers.
- With our guidance, various suppliers have installed solar energy plants and some of them are also connected to the National Grid.

Section D: BR Information

1. Details of Director/Directors responsible for BR

a) Details of the Director/Director responsible for implementation of the BR policy/policies

DIN Number	: 02719429
Name	: Dr. Anish Shah*
Designation	: Managing Director and Chief Executive Officer

* from 2nd April 2021.

DIN Number	: 00254502
Name	: Dr. Pawan Kumar Goenka**
Designation	: Managing Director and Chief Executive Officer

** ceased as MD & CEO of the Company consequent to his term coming to an end from close of 1st April 2021.

b) Details of the BR Head

Sr. No.	Particulars	Details
1.	DIN Number (If applicable)	NA
2.	Name	Mr. Rajeshwar Tripathi
3.	Designation	Chief Human Resources Officer - Auto and Farm Sectors, M&M Ltd.
4.	Telephone Number	+9122 2884 9702
5.	Email ID	tripathi.rajeshwar@mahindra.com

2. Principle-wise (as per NVGs) BR Policy/policies

The Business Responsibility Policy ("BR Policy") addressing the following 9 principles as per the National Voluntary Guidelines on Social, Environmental and Economic Responsibilities of Business (NVGs), duly approved by Board, is in place. This policy is operationalized and supported by various other policies, guidelines and manuals.

- P1: Businesses should conduct and govern themselves with Ethics, Transparency and Accountability.
- P2: Businesses should provide goods and services that are safe and contribute to sustainability throughout their life cycle.
- P3: Businesses should promote the wellbeing of all employees.
- P4: Businesses should respect the interests of, and be responsive towards all stakeholders, especially those who are disadvantaged, vulnerable and marginalized.
- P5: Businesses should respect and promote human rights.
- P6: Business should respect, protect, and make efforts to restore the environment.
- P7: Businesses, when engaged in influencing public and regulatory policy, should do so in a responsible manner.
- P8: Businesses should support inclusive growth and equitable development.
- P9: Businesses should engage with and provide value to their customers and consumers in a responsible manner.

a) Details of compliance (Reply in Y/N)

Sr. No.	Questions	P1 Ethics and Transparency	P2 Product Responsibility	P3 Wellbeing of employees	P4 Responsiveness to Stakeholders	P5 Respect Human Rights	P6 Environmental Responsibility	P7 Public policy advocacy	P8 Support inclusive growth	P9 Engagement with Customers
1.	Do you have a policy/policies for	Yes	Yes Note 1	Yes	Yes	Yes	Yes	Yes	Yes	Yes
2.	Has the policy been formulated in consultation with the relevant stakeholders?	N Note 2	N Note 2	N Note 2	N Note 2	N Note 2	N Note 2	N Note 2	N Note 2	N Note 2
3.	Does the policy conform to any national /international standards? If yes, specify? (50 words)	Yes	Yes	Yes	Yes	Yes	Yes	NA Note 3	Yes	Yes
4.	Has the policy been approved by the Board? If yes, has it been signed by MD/ owner/CEO/appropriate Board Director?	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
5.	Does the company have a specified committee of the Board/ Director/ Official to oversee the implementation of the policy?	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
6.	Indicate the link for the policy to be viewed online?	Yes Note 4	Yes Note 4	Yes Note 4	Yes Note 4	Yes Note 4	Yes Note 4	Yes Note 4	Yes Note 4	Yes Note 4
7.	Has the policy been formally communicated to all relevant internal and external stakeholders?	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
8.	Does the company have an in-house structure to implement the policy/policies?	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
9.	Does the company have a grievance redressal mechanism related to the policy/policies to address stakeholders' grievances related to the policy/policies?	Yes	Yes	Yes	Yes	Yes Note 5	Yes	NA Note 3	Yes	Yes
10.	Has the company carried out independent audit/evaluation of the working of this policy by an internal or external agency?	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes

Note 1 – The Company complies with consumers' awareness through appropriate product labelling and operator manual & instructions which ensure safe usage by the customer. However, the Company's current control is limited till warranty period. The Company is in the process of addressing this by appropriate communication to all value chain members for their responsibilities.

Note 2 – While there is no formal consultation with all stakeholders, the relevant policies have evolved over a period of time by taking inputs from concerned internal stakeholders.

Note 3 – This question is not applicable for influencing public and regulatory policy.

Note 4 – It has been the Company's practice to upload all policies on the intranet site for the information and implementation by the internal stakeholders. The Code of Conduct for Directors, the Employee Code of Conduct, Business Responsibility Policy and Corporate Social Responsibility Policy can be accessed in the Governance section at the Web-link:

<https://www.mahindra.com/investors/reports-and-filings?tab=tabs-4#investor-governance>

Note 5 – The Company has a "Ethics & Governance Policy" to address grievances. There is a Corporate Governance Cell where these issues are dealt with.

3. Governance Related to BR

a) Indicate the frequency with which the Board of Directors, Committee of the Board or CEO to assess the BR performance of the Company. Within 3 months, 3-6 months, Annually, More than 1 year

The Board level Corporate Social Responsibility Committee evaluates the Company's BR performance twice a year. The Board is supported by the Group Sustainability Council, Group CSR Council, Central Safety Council, and Corporate Governance Council that convene every three months to review progress.

b) Does the Company publish a BR or a Sustainability Report? What is the hyperlink for viewing this report? How frequently it is published?

Yes.

Mahindra Group has annually been publishing a Sustainability Report since 2007-08. All Sustainability Reports from 2007-08 are GRI compliant. The Sustainability Report for FY 2020-21 is accessible on the Company's Website at the hyperlink <https://www.mahindra.com/resources/pdf/sustainability/Mahindra-Sustainability-Report-2020-21.pdf>

The Sustainability Report for FY 2021-22 is under preparation and will be uploaded on the website of the Company in due course of time.

Section E: Principle-wise performance

Principle 1: Businesses should conduct and govern themselves with Ethics, Transparency and Accountability

1. Does the policy related to ethics, bribery and corruption cover only the company? Yes/No. Does it extend to the Group/Joint Ventures/Suppliers/Contractors/NGOs/Others?

Yes.

- The Company has a Code of Conduct that is applicable to all the Company's Directors as well as all employees.
- The Code of Conduct covers issues related to ethics and bribery. It also covers all dealings with Suppliers, customers and other business partners including Joint Ventures, and other stakeholders.

- The Company also has a Code of Conduct for Suppliers and Vendors.
- The Company has a Policy on Anti-Bribery and Anti-Corruption which is listed on the Company's website. The Policy covers all stakeholders of the Company.

2. How many stakeholder complaints have been received in the past financial year and what percentage was satisfactorily resolved by the management? If so, provide details thereof, in about 50 words or so. –

During the reporting year, 30 investor complaints were received by the Company, all of which have been attended to/resolved till date. These complaints pertain to non-receipt of dividend, non-receipt of shares, etc.

Principle 2: Businesses should provide goods and services that are safe and contribute to sustainability throughout their life cycle

1. List up to 3 of your products or services whose design has incorporated social or environmental concerns, risks and/or opportunities

1. Passenger Vehicles (UV/ MPV/ Cars)	All-New global SUV-XUV700 • Debuts All-New BS6 compliant range of petrol and diesel powertrains. Offering significant improvement in performance and efficiency. • 2.0L TGD I 200 PS (147kW) @ 5000 Rpm, 380 Nm@ 1750-3000Rpm. • 2.2 L CRDi, 155 PS (114 kW) @ 3750 Rpm, 360 Nm@ 1500-2800 Rpm and 185 PS (136 kW) @ 3500 Rpm 420 Nm @ 1600-2800 Rpm (MT), 450 Nm @ 1750-2800 Rpm (AT). • World class safety with new generation architecture, ESP, ABS, Airbags, ISOFIX. • Advanced Driver Assistance system with Driver Drowsiness alert. • 6-way power seat with Memory.
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	New Bolero Neo • 100hp mHawk engine, tough built body the Body on Frame construction, rear wheel drive and multi-terrain technology. • Driver information system. • Hi-tech Voice messaging system. • Eco Mode, Micro hybrid technology with ESS (Electronic Start-Stop). • Comfortable cabin and safety technology such as standard dual airbags, anti-lock braking system (ABS) with electronic brake distribution (EBD) and cornering brake control (CBC). • Cutting edge cruise control, Intellipark reverse assist. • Dual airbags for driver and co-driver. • Automatic door locks, High speed alert warnings. • Dependable cornering brake control. • ISOFIX child seat, Seat belt reminder. • Static bending, Follow me headlamps. • Digital immobiliser.
2. Light Commercial Vehicles	e Alfa Cargo • The launch of the e Alfa Cargo marks the entry of Mahindra in the rapidly growing e-cart segment. • e Alfa Cargo aims to provide sustainable, pollution-free solutions in the cargo segment. • India's largest service network, for electric 3-wheelers, with approximately 300 outlets. • Saves up to Rs. 60,000.00 with the e Alfa Cargo on fuel costs vs diesel cargo 3-wheelers (Rs. 86.6/litre, prevailing rate as of December 2021 in Delhi). • Low running cost of just 59 Paise per kilometre (considering electricity charges at Rs. 8/unit). • Go the distance with 80 km range on e Alfa Cargo, peak power of 1.5 kW. • Top speed of 25 km/h. • With an off board 48 V/15 A charger, charging the e Alfa Cargo is as easy as charging a mobile phone.

3. Tractors (Farm Division)	Yuvo Tech+ tractors • 6 years warranty best in the industry. • Robust Product design. • No. 1 Channel reach – Easy availability of spares & service points. • Powerful 3-Cylinder M Zip engine with enhanced back up torque up to 25%. • High Max torque (183 Nm for 31.33kW - 42 HP tractor) – gives more coverage in less time. Best in class PTO HP suitable for rotary implements. Most fuel-efficient engine – saves money. • Enhanced Lift Capacity up to 1700 kgs, lifts heaviest of implement with ease. • 12 Forward + 3 Reverse, makes tractor suitable for any soil condition & multi applications.
	Mahindra JIVO • Mahindra JIVO ensures greater profits to the customer because of its low maintenance, best in class mileage, and easy spare part availability along with low cost. • The new Mahindra Jivo 305 (28hp-4WD) for Vineyard and Orchard specific requirements is launched successfully to meet most of the applications with lesser fuel consumption. • JIVO 24 HP E-Governor (Instead of typical mech governor in engine, E-Governor was added in engine) variant launched in January 2022 to meet the Vineyard application requirement of Uniform sprayer application.

	Mahindra NOVO • NOVO Platform consists of 3- & 4-cylinders Inline & CRDe Engine with power rating above 50 hp upto 100 hp, compliant to various global emission norms including India. • Bundle of transmissions to choose in mechanical & power shuttle. • Speed combinations are 15x3, 12x12, 15x15 and 20x20 (Forward x Reverse). • NOVO platform is equipped with various type of PTO to meet varying needs of customers for different applications viz., 540 & 540E, 540 & 540 Reverse, 540 & 1000 rpm. • Efficient hydraulics suitable for all kind of soils with 2200 kg, 2500 kg & 2600 kg lift capacities. • Available both in Open Station and Cabin with Heating Ventilation & Air Conditioning (HVAC) version for operator's comfort. • Technologically advanced range of tractors which can handle more than 40 farming applications in different soil conditions with longest service interval of 400 hours. • In F22, Tractors have been integrated to extremely innovative and one of its kind cleaner Trem-IV engine with multimode switch for better productivity and fuel economy for domestic market. • Indigenously designed and developed 4WD Front Axle has been integrated for export markets.	Swaraj Gen2 8100 EX Self-Propelled Combine Harvester • Generating a power output of 101 HP, the Swaraj Gen2 8100 EX Self-Propelled Combine Harvester has a good ground clearance and a smaller turning radius, with a large grain tank having a capacity of 2140 litres, which is also easy to clean and service. • Features five straw walkers and a sieve area of 4.72 Sq. meter, which minimizes the loss of grain. • Designed and developed to efficiently harvest rice, wheat and soyabean which will enable reaping, threshing, and winnowing of grains efficiently, with minimal grain loss and breakage. • Equipped with the latest GPS enabled tracking system, the Swaraj Gen 2 8100 EX with remote live tracking of location and performance parameter.
	Tez e Range of Rotavators • The Tez e range of Rotavators are the first in their class to deliver an unique value proposition of: • App based interface with the operator to maintain Rotavator Rotor RPM for delivering Best in class Fuel Consumption and Productivity. • Bluetooth enabled user interface to record operational hours of the Rotavator. • This intelligent rotavator gives us the first mover advantage in the tillage implement space. • By saving 400 ml of fuel per tractor - hour, this solution enables saving of 120 Mn litres of Diesel for 6 Lac new tractors being sold every year. • With 2.68 Kgs of CO₂ emitted per litre of Diesel combusted, this solution saves 0.3 Mn Tonnes of CO₂ in India.	4. Swaraj CODE • CODE is a new category of farm equipment (Ride on Type Multipurpose Toolbar). • A multi-purpose farm equipment powered with a 11 HP Honda engine, 6 forward and 3 reverse speeds, Double acting hydraulics and Oil immersed brakes. • This product has added versatility of changing the ground clearance for intercrop cultivation and also a 180° configuration for operating front mounted attachments. • This product helps farmers manage their farms most efficiently. Its compact size makes it ideal for crop care operations (like weeding and spraying) as it reduces the farmer's dependence on labour drastically and significantly reduces operational costs. 855 FE with 12 + 3 speed transmission • New variant introduced with 15 speed options (12 forward and 3 reverse), providing enhanced productivity and better application suitability to the customer and which gives an edge in performance, reliability and efficiency. • Key features of this variant are, 15 Speed options (L, M, H range gear box), PCM Gear box, Side Shift providing better ergonomics, Independent PTO, Heavy duty front axle, 2000 Kg lift capacity & Easy hitch.

2. For each such product, provide the following details in respect of resource use (energy, water, raw material etc.) per unit of product (optional):

i. Reduction during sourcing/production/distribution achieved since the previous year throughout the value chain?

There is no specific resource use tracking method for the products mentioned above. However, the entire portfolio's resource usage is recorded and monitored. The resource consumption per unit of equivalent vehicle or equivalent tractor manufactured is tracked since the product portfolio is diversified across multiple manufacturing locations of the Company. In the reporting year, the methodology for computation was updated to include data from Chakan in the Automotive Division and Swaraj Foundry in the Farm + Swaraj Division. The following table provides resource use estimation for the current year and restated estimates for the previous year:

Resource Use	Divisions	Unit of Measurement	Current Year 2021-22	Previous Year 2020-21 (With Revised Calculation)	Previous Year 2020-21 (as reported in Annual Report)
Specific Energy Consumption	Automotive Division	GJ / Equivalent Vehicles	1.583	1.538	1.410
	Farm + Swaraj Division	GJ / Equivalent Tractors	1.417	1.433	1.174
Specific Green House Gas Emissions (Scope 1 & 2)	Automotive Division	tCO ₂ / Equivalent Vehicles	0.204	0.211	0.192
	Farm + Swaraj Division	tCO ₂ / Equivalent Tractors	0.207	0.213	0.160
Specific Water Consumption	Automotive Division	KL / Equivalent Vehicles	1.348	1.492	1.234
	Farm + Swaraj Division	KL / Equivalent Tractors	0.846	0.912	0.816

ii. Reduction during usage by consumers (energy, water) achieved since the previous year

Reduction in energy consumption would be observed at Consumers' end over the years due to advancements in technologies and improved fuel efficiency of vehicles. However, monitoring such a reduction is difficult since it is completely dependent on the driving behaviour of individual consumers.

3. Does the company have procedures in place for sustainable sourcing (including transportation)? If yes, what percentage of your inputs was sourced sustainably? Also, provide details thereof, in about 50 words or so.

- Under the umbrella of "ONE SOURCING," the Company has been attempting to improve the degree of sustainability considerations in its sourcing processes. This includes strategy of one supplier per platform and common supplier basket for multiple businesses, setting up of vendor parks at its new plants, sourcing from tightly knit clusters, optimizing logistics to reduce fuel consumption, emissions and carbon footprint, re-working packaging to minimize waste and maximize re-use.
- Mahindra has a Green Supply Chain Management Policy and a Supplier Code of Conduct that has been shared with all suppliers, through which the Company is committed to increasing awareness of legal compliances, increasing eco-efficiency, and promoting employee health and safety initiatives, among other things in the supply chain.
- Supplier meetings, business evaluations, several training sessions, and the two-way interactive M SETU Platform provide continuous contact with suppliers.
- To encourage suppliers to bolster their sustainability agenda, the "Annual Sustainability Award" was established to reward exemplary supplier practices.
- To promote ethical behaviour, the Supplier Code of Conduct version 2.0 was launched in FY 2020-21 for suppliers to declare conformity with the M&M Supplier Code of Conduct. By spend, more than 78 percent of suppliers have signed the Code of Conduct till date.
- To ensure a safe working environment in the supply chain, in FY 2020-21 the Company began third-party supplier safety audits, with feedback offered to suppliers for improvement. The scope of safety audits was expanded in FY 2021-22, with a total of 317 vendors covered by the end of the financial year.
- We have been working on a Zero Wood Waste Policy and other initiatives for the past four years. By reducing/eliminating wooden and corrugated packing, we were able to save 8430.01 tCO₂.

4. Has the company taken any steps to procure goods and services from local & small producers, including communities surrounding their place of work? If yes, what steps have been taken to improve their capacity and capability of local and small vendors?

Yes. The Company consistently purchases goods and services from local suppliers.

- Through communication meetings and supplier business evaluations, the purchasing group shares its yearly plans and tentative plans for the following two years with its key suppliers.
- These suppliers receive management and technical support in order to train them on best practises and procedures that will boost productivity, quality, cost, delivery, safety, and morale (PQCDSM).
- Initiatives such as Supplier Business Capability Building (SBCB), Mahindra Supplier Evaluation Standard (MSES), Technical Capability Building programmes, Supply Risk Mitigation & Management (SRMM), Safety Training & assessments, technical support for special processes during new product development, VAVE (Value Analysis Value Engineering) activities, and Associate Value Specialist Program for suppliers, among others, are used to achieve the above.
- The Company is concentrating its efforts on developing supplier parks near its operations, such as Chakan Supplier Park and Zaheerabad Supplier Park.
- The Company continues to prioritise purchasing from local suppliers that are geographically close to its manufacturing facility.
- Almost all sourcing is done domestically, with only a small fraction of inputs being sourced from outside the country.

5. Does the company have a mechanism to recycle products and waste? If yes, what is the percentage of recycling of products and waste (separately as 10%). Also, provide details thereof, in about 50 words or so.

Yes, the Company is continually striving to build a system to recycle products and reduce waste generated during car and tractor manufacturing.

- The Company has established well-documented procedures to guarantee compliance with the European Union Directive 2005/64/EC, which is currently in effect for automobiles exported to the European Union.

- Mahindra's goal is to reduce the amount of waste generated by End-of-Life Vehicles (ELVs) and to enhance the number of ELVs recovered and recycled. Export automobiles come with information on recyclable parts and a dismantling manual.
- To determine the recyclability, recoverability, and reusability rate (RRR) of the export vehicles, the Company uses ISO 22628:2002.
- The Company has 5 models complying with the European Union Directive 2005/64/EC norms on recyclability and is currently exporting one product.
- The Company is a member, and an active participant of the Society of Indian Automotive Manufacturers (SIAM) committee that is developing methods and procedures for product recycling in India.
- In India, the batteries used in automobiles are recycled in an organised manner by battery manufacturing companies. Other elements, like tyres and body components, are also recycled by licenced scrap dealers, who either recover the material used or cannibalize/refurbish the components for reuse.
- CERO is India's first authorized recycler for motor vehicles with dismantling centers at Greater Noida, Pune and Chennai and in addition collection centers at major cities such as Mumbai, Bangalore, Hyderabad, Ahmedabad, Jaipur and Chandigarh.
- Any customer who wishes to purchase a new Mahindra vehicle by scrapping or exchanging an older vehicle (over 15 years) can do so at any Mahindra dealership. These services would save the consumer time and money by eliminating the need to find a scrapping agency or dealer.
- This is especially relevant given the new vehicle scrappage policy announced by the Minister for Road, Transport and Highways.
- For European M1 and N1 products, the Company has undertaken Life Cycle Assessment (LCA) in the form of compliance with the End-of-Life Vehicle (ELV) requirement.
- The vehicles are exported and certified as per European Emission Compliance (EEC) directive 2005/64/ EC.

- CO₂ emissions are measured during type approval testing at government-approved testing facilities, and this information is used to calculate the CO₂ footprint of goods as Company weighted average fuel consumption (CAFE) is required to conform to India's future Fuel Economy emission regulations.

Principle 3: Businesses should promote the wellbeing of all employees-

1. Please indicate the Total number of employees: 48,961
2. Please indicate the Total number of employees hired on temporary/contractual/ casual basis: 27,664
3. Please indicate the Number of permanent women employees: 659
4. Please indicate the Number of permanent employees with disabilities: 13
5. Do you have an employee association that is recognized by management: Yes
6. What percentage of your permanent employees is members of this recognized employee association? (Total Unionized Permanent Workmen/Total Permanent Workmen): 86%
7. Please indicate the Number of complaints relating to child labour, forced labour, involuntary labour, sexual harassment in the last financial year and pending, as on the end of the financial year.

S. No.	Category	No. of complaints filed during the financial year	No. of complaints pending as on end of the financial year
1.	Child labour/forced labour/involuntary labour	NIL	NIL
2.	Sexual harassment	9	2
3.	Discriminatory employment	NIL	NIL

8. What percentage of your under mentioned employees were given safety & skill up-gradation training in the last year? –
 - a. Permanent Employees: 83%
 - b. Permanent Women Employees: 76%
 - c. Casual/Temporary/Contractual Employees: 83%
 - d. Employees with Disabilities: 77%

Principle 4: Businesses should respect the interests of, and be responsive to the needs of all stakeholders, especially those who are disadvantaged, vulnerable, and marginalised

1. Has the Company mapped its internal and external stakeholders? Yes/No:
Yes
2. Out of the above, has the Company identified the disadvantaged, vulnerable & marginalized stakeholders?
Yes
3. Are there any special initiatives taken by the Company to engage with the disadvantaged, vulnerable, and marginalised stakeholders? If so, provide details thereof, in about 50 words or so.

Under its Corporate Social Responsibility, the Company has been driving various projects across the country to uplift marginalized and vulnerable communities. While details are shared under Principle 8, two examples of projects where majority of the beneficiaries are from marginalized sections are outlined below:

1. **Mahindra Hariyali** – This is a large-scale tree plantation programme conducted in Araku (Tribal Belt of Vishakhapatnam district, Andhra Pradesh) where 100% of the beneficiaries are tribal farmers. Besides enriching biodiversity, it also provides livelihood support to tribal farmers by planting fruit and forest trees in this region. Over the years, 25,000 tribal farmer families have benefited from this programme.
2. **Women Empowerment through Regenerative Agriculture** – The main objective of the programme is to enable women farmers to use regenerative agriculture as a technique to transform the soil on their land, increase productivity and earn profits throughout the year, in addition to ensuring food and nutrition security for their families. The Project is implemented in Moga, Tarn Taran (Punjab) and Shravasti (Uttar Pradesh) which are identified as aspirational districts by Government of India.

Further details of community development initiatives are given in Principle 8.

Principle 5: Businesses should respect and promote human rights

1. Does the policy of the company on human rights cover only the company or extend to the Group/Joint Ventures/Suppliers/Contractors/NGOs/Others?

- The Business Responsibility Policy covers the aspects on Human Rights for the Company.
- However, Human Rights issues are also a part of the supplier selection process and are included in the contracts drawn up with them.
- The Company has put in place an Ethics helpline managed by an external agency to ensure that any violations to its Code of Conduct (including violation of Human rights) are addressed objectively.

2. How many stakeholder complaints have been received in the past financial year and what percent was satisfactorily resolved by the management?

- During the year 67 complaints were received through the Ethics Helpline portal, of which 39 were investigated and resolved (constituting 58% of the complaints received), and 28 were pending. Subsequent to the year end, 7 cases were concluded.
- Out of the above 67 complaints, 5 were addressed to the Chairman of the Audit Committee of which 4 complaints were investigated and resolved and 1 complaint is pending.
- M&M has a well-defined four step Grievance Redressal Machinery available at each plant for workmen through which grievances are tracked and addressed.
- Additionally, Employee Satisfaction Surveys are carried out periodically to capture overall satisfaction level and improvement areas. All low scoring responses are discussed in focused group meetings and are duly resolved.
- Although there is no process to separately maintain records for grievances related to Human Rights, the above stated mechanism adequately addresses this issue. There is a mechanism for all employees of Automotive and Farm Sectors to voice their concerns to the Sector President through a 'Reach-out' mailbox which is confidential. Additionally, to address Human Rights violations in for blue collared workmen (Permanent & Flexible workforce),

a Grievance Register has been kept at Time Office to raise concerns. However, no complaints have been received or reported during the reporting year.

Principle 6: Business should respect, protect, and make efforts to restore the environment

1. Does the policy related to Principle 6 cover only the company or extends to the Group/Joint Ventures/Suppliers/Contractors/NGOs/others?

At Mahindra, several environmental policies addressing different issues are in place. The Green Supply Chain Management Policy includes environment protection and covers suppliers. The subsidiaries/joint ventures have their own environmental policies that are in line with the Company's recommendations and policies.

2. Does the company have strategies/ initiatives to address global environmental issues such as climate change, global warming, etc? Y/N. If yes, please give hyperlink for webpage etc.

Yes

- The Company is the first firm to commit to EP 100 initiative by The Climate Group.
- A carbon price of US \$10 per ton of carbon emitted has been implemented at the Company.
- The Company has also committed to Science Based Targets (SBT) and targets have been approved to limit average world temperature rise in accordance with the Paris Climate Change Agreement.
- In accordance with these targets, the entire group aspires to become carbon neutral by 2040 by investing in energy efficiency, renewable energy, and carbon offsets through tree plantation.
- The Company's sustainability roadmap is in place, with goals to cut carbon emissions, reduce water use, boost renewable energy use, and improve waste recycling.
- The Company is a signatory of the India Business Biodiversity Initiative (IBBI).
- Mahindra's senior leadership has engaged on a number of national and international committees that promote sustainable practises.
- Further strategies and initiatives will be elaborated in the Company's Sustainability Report for Financial Year 2021-22.

The indicative list of various projects implemented in this regard is given below. The complete details will be available in the Sustainability Report for the year 2021-22.

Energy Savings:

- Installation of energy efficient EC blower for paint shop and HVAC applications.
- Replacement of conventional air circulators with BLDC technology air circulators.
- Installed waste heat recovery system.

Water Savings:

- Installation of reverse osmosis plant and recycle wastewater back to the process and cooling towers.
- Domestic water consumption optimisation through use of low flow fixtures, water less urinals etc to reduce water consumption.
- Rainwater harvesting for ground water recharge.
- Use of ETP / STP / RO treated water for gardening, cleaning, and process application.

Waste Reduction:

- Reduction in the use of papers by adopting digital technology.
- Use of shredded corrugated box strips avoiding use of bubble wraps for packing.
- Paint sludge and phosphate sludge sent for co-processing to cement industry.

3. Does the company identify and assess potential environmental risks? Y/N

Yes, the Company has a mechanism to identify and assess potential environmental risks across all locations.

4. Does the company have any project related to Clean Development Mechanism? If so, provide details thereof, in about 50 words or so. Also, if Yes, whether any environmental compliance report is filed?

Yes.

The name of the CDM – PoA 9731 is Energy Efficiency through Micro irrigation system – India. The Registered Program of Activities (PoA) aims at encouraging energy efficiency through installation of efficient irrigation system such as drip and sprinkler irrigation replacing the conventional flood method of irrigation resulting in GHG (Green House Gas) Emission reduction and Water Conservation. It was registered in September 2013.

For more details refer to:

https://cdm.unfccc.int/ProgrammeOfActivities/poa_db/4Z28CN6S0DEB5F1PLIXAY9W3GMRUOQ/view

5. Has the Company undertaken any other initiatives on – clean technology, energy efficiency, renewable energy, etc? Y/N. If yes, please give hyperlink for web page etc.

Yes, the Company has undertaken following other initiatives: –

- Installation of energy efficient EC blower for paint shop and HVAC applications.
- Replacement of conventional air circulators with BLDC technology air circulators.
- Improving energy efficiency through VFD's, interlockings, automations and digitisation.
- Installation of demand side controller for air compressor system.
- Replacement of old conventional lights with LED's.
- Replacement of old motors with premium efficiency IE3 motors.
- Installation of Energy efficient inverter split AC's.
- Installation of auto shut off valves for compressed air.
- Waste heat recovery from air compressors and paint shops.
- Installation of IT guns for spot welding etc.

6. Are the Emissions/Waste generated by the company within the permissible limits given by CPCB/SPCB for the financial year being reported?

Yes

7. Number of show cause/ legal notices received from CPCB/SPCB which are pending (i.e., not resolved to satisfaction) as on end of Financial Year.

NIL

Principle 7: Businesses, when engaged in influencing public and regulatory policy, should do so in a responsible manner

1. Is your company a member of any trade and chamber or association? If Yes, Name only those major ones that your business deals with:

Yes. The Company is a member of the following trade and chamber or associations in alphabetical order:

- a) The Associated Chambers of Commerce and Industry of India (ASSOCHAM)

- b) Bombay Chamber of Commerce and Industry (BCCI)
 - c) Confederation of Indian Industry (CII)
 - d) Employers' Federation of India (EFI)
 - e) Federation of Indian Chambers of Commerce & Industry (FICCI)
 - f) Indian Merchants Chambers
 - g) National Human Resource Development Network (NHRDN)
 - h) Society of Indian Automobile Manufacturers (SIAM)
 - i) The Energy and Resource Institute (TERI)
 - j) Tractor Manufacturer's Association (TMA)
2. Have you advocated/lobbied through above associations for the advancement or improvement of public good? Yes/No; if yes specify the broad areas (drop box: Governance and Administration, Economic Reforms, Inclusive Development Policies, Energy security, Water, Food Security, Sustainable Business Principles, Others).

Mahindra actively advocates and participates in activities for advancement of public good as a stakeholder of SIAM and TMA on policies related to Automotive and Tractor Industry, Sustainable Mobility and Farm Tech Prosperity, Economic Reforms, Sustainable Business Principles (Sustainable Supply Chain Management) and Vehicle Recall policy. When opinions are sought on subjects like Securities Law and Corporate Laws, the Company also contributes through the Confederation of Indian Industry and the Bombay Chamber of Commerce and Industry.

Principle 8: Businesses should support inclusive growth and equitable development

1. Does the Company have specified programmes/ initiatives/ projects in pursuit of the policy related to Principle 8? If yes details thereof.

Yes. Mahindra and Mahindra Limited is driven by its core philosophy of "Rising for Good". The Company works with stakeholders, holistically, to drive positive and sustainable change in society. Aligning this philosophy and approach towards CSR, the Company looks beyond philanthropy at investing in impactful social programmes.

Through various social initiatives over the last 75 years, the Company has positively impacted girls, youth, and farmers through programs in the domain of Education and Skill Development and

Environment. The Company also applies a gender lens across all projects, thereby ensuring that social investments will result in empowering girls and women. Additionally, in the Environment sector, the Company has undertaken a massive tree plantation initiative, to make a positive impact on the planet. Some of the major initiatives that the Company has invested in the financial year are as follows:

- a) **Project Nanhi Kali:** Provision of educational support to underprivileged girls from poor urban, remote rural and tribal communities across India to enable them to complete their schooling.
 - b) **Mahindra Pride School & Mahindra Pride Classrooms:** Livelihood training programme for youth from socially and economically disadvantaged communities to enable them to get jobs based on the skills developed.
 - c) **Promoting Health & Preventive Healthcare:** Providing palliative care for people with chronic illnesses such as cancer, Alzheimer's, kidney failure, lung conditions and stroke.
 - d) **Mahindra Hariyali:** Afforestation initiative to improve green cover and protect biodiversity in the country while simultaneously supporting the livelihood of tribal farmers.
 - e) **Integrated Watershed Management Project (IWMP):** A public private partnership with the Government of Madhya Pradesh at Bhopal and NABARD at Hatta and Nashik for Soil & Water Conservation, Productivity Enhancement and Livelihood Generation interventions. Further, climate proofing projects are being implemented in 3 completed watershed projects with the help of NABARD.
 - f) **Women Empowerment through Regenerative Agriculture:** The main objective of the programme is to enable women farmers to use regenerative agriculture as a technique to transform the soil on their land, increase productivity and earn profits throughout the year, in addition to ensuring food and nutrition security for their families.
2. Are the programmes/projects undertaken through in-house team/own foundation/external NGO/ government structures/any other organization?

CSR projects are implemented either directly by the Company through its ESOPs structure (Employee

Social Options Programme) that supports employees in creating volunteering projects based on the needs of underprivileged communities in and around their places of work) or through implementing NGO partners. Implementing partners are required to have a valid registration under section 12A & 80G of the Income-tax Act, 1961, and have an established track record for at least 3 years. The main implementation partners the Company works with are the Mahindra Foundation, K C Mahindra Education Trust, and Naandi Foundation.

3. Have you done any impact assessment of your initiative?

Your Company has commissioned Devinsights Private Limited and Value Network Ventures Advisory Services Private Limited to carry out independent 3rd Party Impact Assessment studies for the following five CSR projects completed in F21:

- Project Nanhi Kali
- Mahindra Pride
- Mahindra Academy-Malad, Mumbai
- Mahindra Scholarship for MUWCI Students
- Project Hariyali

The Executive Summary for Impact Assessment Reports of the applicable projects, is provided in Annexure VI of the Board's Report and the complete Impact Assessment Report of the applicable projects can be accessed at the Web-link: <https://www.mahindra.com/resources/FY22/AnnualReport.zip>

4. What is your Company's direct contribution to community development projects – Amount in INR and the details of the projects undertaken?

The Company's contribution towards community development projects amounts to approximately INR 97.08 Crores (Including admin expenses). The list of the CSR projects along with the amount is provided in Annexure VI of the Board's Report.

5. Have you taken steps to ensure that this community development initiative is successfully adopted by the community? Please explain in 50 words, or so.

Yes, for all CSR projects the Company ensures that it works together with the community so that over a period they can adopt the programme on their own. Below are examples of steps taken for the same:

PROJECT NANHI KALI –

- This initiative provides educational support to underprivileged girls in India by providing daily after school academic support and an annual school supplies kit including feminine hygiene

material, thereby allowing every girl in the project to attend school with dignity.

- This year, despite government school closures caused by the COVID-19 pandemic, community based Nanhi Kali Academic Support Centres were temporarily set up by the project (with due permissions from government authorities), to ensure that girls continued to receive educational support during this critical time.
- In FY 2021-22, the project supported the education of 1,85,759 girls. Of these, 83,591 girls were supported by the Mahindra Group of which 33,046 girls were supported by Mahindra and Mahindra Limited. The Company enhanced its support to this programme by adding support to 5050 girls in Financial Year 2021-22. The balance girls in the project were supported by individual donors and other corporates.

MAHINDRA HARIYALI –

- The Mahindra Group has committed to planting one million trees every year.
- From inception in 2007 till Financial Year 2021-22, the Mahindra Group has planted 20.65 million trees. Of this, 13.40 million trees have been planted in Araku Valley to enhance livelihood of tribal farmers. In the Araku Valley of Andhra Pradesh, the trees planted include fruit bearing trees and coffee saplings, which have yielded high returns to the Adivasi tribal population in this region.
- In a bid to ensure transparency, farmers are consulted at every step in the program process and farmers societies have been formed to ensure ownership and community participation in the decision making.
- The testimony of the community adopting the project is evident through the average survival rates of the plantations being more than 85%.

Principle 9: Businesses should engage with and provide value to their customers and consumers in a responsible manner

1. What percentage of customer complaints/consumer cases are pending as at the end of financial year?

Mahindra and Mahindra Limited treats customer complaints very seriously. The organization has created various mediums such as emails to customercare@mahindra.com, With You Hamesha 24X7 Call Centre toll free no, websites, tweet handle, telephone, letter, fax etc. to be able to hear customers.

The status of pending complaints/cases as on 31st March, 2022 is as follows:

2021-22	Automotive Division	Farm Division (Including Swaraj)	Total
Percentage of Consumer Cases pending against the Company as on 31 st March 2022 of cumulative cases pending or filed since 1 st April 2009.	32.23%	40.02%	33.81%

Auto Division – Customer Complaints

Receiving Period	Total Complaints registered in this period	Open	Closed	Open %	Closed %
F22	29,827	738	29,089	2.47%	97.53%
F12-F22	3,55,344	738	3,54,606	0.21%	99.79%

Farm Division – Customer Complaints

Receiving Period	Total Complaints registered in this period	Open	Closed	Open %	Closed %
FY 22	18,579	297	18,282	1.60%	98.40%
F11-22	1,82,755	297	1,82,458	0.16%	99.84%
F22 Swaraj Division	2,745	26	2,719	0.95%	99.05%
F11-F22 Swaraj Division	9,030	26	9,004	0.29%	99.71%

2. Does the Company display product information on the product label, over and above what is mandated as per local laws? Yes/No/N.A. /Remarks (additional information)

Yes. The Company provides appropriate service and safety labels in addition to mandatory requirements. For example, product fuel economy data is displayed for each variant at dealerships where the products are sold.

3. Is there any case filed by any stakeholder against the Company regarding unfair trade practices, irresponsible advertising and/or anti-competitive behaviour during the last five years and pending as on end of financial year? If so, provide details thereof, in about 50 words or so.

Yes. The Company has been impleaded in the below listed proceedings that allege unfair competition/ trade practices. The Company believes that the allegations are untrue and without merit and is vigorously defending itself in these proceedings.

Description of the matters pending under the Competition Act, 2002:

Case No. 3/2011:

Based on the information given by the Informant 'Shamsher Kataria' against 3 car manufacturers about non-availability of spare parts in the open market, the Competition Commission of India (CCI) commenced investigation of 17 car manufacturers. On August 25, 2014 CCI passed an order ("Order") against fourteen companies including Mahindra & Mahindra Limited (M&M). By this Order, the CCI imposed a penalty of Rs. 292.25 crores amounting to 2% of the average annual turnover for the years 2007-08, 2008-09 and 2009-10. M&M vide a Writ Petition W.P.(C) 6610/2014 ("W.P.") filed before the Delhi High Court challenged the constitutional validity of certain sections of the Competition Act, 2002 based on which the order and penalty was decided by the CCI. On 10th April 2019, the Delhi High Court pronounced its order (HC order) and held certain sections of the Competition Act as unconstitutional. The HC order requires that in view of its directions, new guidelines be framed by CCI, in regard to the manner in which the CCI conducts its proceedings. M&M challenged the aforesaid Order of Delhi HC by filing a SLP before the Supreme Court. The Hon'ble Supreme Court was pleased to issue notice to Respondents and further granted stay on Impugned CCI Order till the next date of hearing. Union of India ("UOI") had also filed SLP against the Judgement dated 10.04.2019, along with an Application for Condonation of Delay, as the SLP filed by them is barred by limitation. The matter came up for hearing on 17.08.2021 when the court condoned the delay in filing of SLP by the UOI. M&M has filed its reply to the SLP filed by the UOI. Thereafter, the matter has not yet come up for hearing.

Matters pending before the ITC, USA

In August of 2018, a complaint was filed by Fiat Chrysler Automobile US, LLC ("FCA") with the United States International Trade Commission (ITC) against Mahindra & Mahindra Limited ("M&M") and Mahindra Automotive North America ("MANA") alleging that certain design features of the Mahindra ROXOR infringe the intellectual property rights of Fiat's Jeep design. Fiat sought an order for permanently restraining M&M from exporting to the United States, and MANA from importing into US, any part or component which infringes FCA's intellectual property rights.

In response, M&M / MANA brought action in Federal District Court in Michigan on the issue of the applicability and enforcement of M&M's 2009 agreement with FCA and to assert a claim for compensation arising out of the harm caused by FCA using the ITC case to injure the ROXOR business, M&M and MANA by creating negative publicity, damaging the reputation and stature in the marketplace. After the hearing the court indicated that both the Federal District Court action and the ITC investigation would continue. The parties agreed to delay trial at the Federal District Court until the final outcome at the ITC.

Trial at the ITC was held in August 2019. The administrative law judge overseeing the case issued an initial determination and recommendation wherein it was suggested that although the Mahindra ROXOR did not infringe on any of FCA's registered trademarks, however, FCA did establish rights in certain trade dress elements and the ITC should issue an order prohibiting import of infringing parts. The full commission reviewed the initial determination and issued a final determination on June 11, 2020. The final determination at the ITC agreed with the recommendations of the administrative law judge on the issues.

The Federal District Court of Michigan has since validated the ITC's finding regarding (i) non-infringement of FCA's registered trademarks and (ii) infringement by of FCA's Jeep Trade Dress by the 2018 and 2019 MY ROXOR vehicle.

M&M has appealed the ITC's findings on FCA's rights to their claimed trade dress elements and that the 2018 and 2019 ROXOR models were infringing of those rights, before the Federal Circuit Court.

The ITC also provided a mechanism for review of the FY 2020 and FY 2021 ROXOR designs to determine if they are non-infringing. On 20th July 2020, the Judge at the ITC began expedited consideration of the FY 2021 ROXOR design. The Judge at the ITC concluded that the FY 2021 ROXOR design did not infringe on the FCA trade dress. This conclusion was referred to the entire International Trade Commission for review. On 23rd December 2020, the Commission concurred with the conclusion that the FY 2021 design was non-infringing. This permitted the manufacture and sale of the new design in the U.S. without restriction.

Appeals were filed by both, (i) M&M's appeal of the original ruling that the 2018/2019 ROXOR models were infringing and (ii) Fiat's appeal of the ruling in that the 2021/2022 ROXOR design is non-infringing were denied by the Federal Circuit Court for Appeals in one consolidated action. The period for the appeal of the Federal Circuit's decision has now also expired. The decision was submitted to the parallel/companion matter in the Federal District Court for resolution of the remaining issues relating to (i) damages claimed by FCA with respect to the original infringement and (ii) damages related to the false advertising claims, both of which remained in abeyance until the appeals were resolved and (iii) the appeal of the Federal District Court's decision regarding the standards applied in this companion case.

4. Did your Company carry out any consumer survey/ consumer satisfaction trends?

Yes. Brand Track Studies were carried out in Financial Year 2021-22 for the following business segments:

- SUVs
- Pik-UPs
- Small Commercial Vehicles
- Trucks and Buses
- Tractors